Preparer Review Notes - 2024 Form 1040

Clients: Robert Smith Jr. (SSN xxx-xx-5555) & Lisa Marie Smith (SSN xxx-xx-6666) | **Filing status:** Married filing jointly | **Address:** 123 Smith Street, San Antonio, TX 78253 (Bexar County)
Prepared by: Tax Preparer | **For:** Senior Accountant review | **Status:** DRAFT - open items listed in Section 4 must be cleared before e-file.

1. Return summary

Form 1040 line	Description	Amount
1a / 1z	Wages (3 Forms W-2, box 1)	327,003
2b	Taxable interest (3 Forms 1099-INT)	1,116
3a / 3b	Qualified / ordinary dividends (1099-DIV)	4,898 / 6,744
7	Net capital gain (ST loss $6,694; LT gain $33,077)	26,383
9	Total income	361,246
10	Adjustments (educator expenses)	300
11	Adjusted gross income	360,946
12	Itemized deductions (Sch. A) - exceeds $29,200 standard deduction	31,979
13	QBI deduction (Sec. 199A REIT dividends, Form 8995)	43
15	Taxable income	328,924
16	Tax (Qualified Dividends & Capital Gain Tax Worksheet)	62,211
19	Child tax credit (3 children x $2,000)	6,000
20	Sch. 3: foreign tax credit $211 + dependent care credit $328	539
23	Sch. 2: Additional Medicare Tax $931 + NIIT $1,301	2,232
24	Total tax	57,904
25d	Federal income tax withheld (W-2s)	25,394
26	2024 estimated tax payments (4 payments)	13,685
31	Excess social security tax withheld (Robert, two employers)	4,113
33	Total payments	43,192
37	AMOUNT OWED (before any estimated tax penalty)	14,712

Effective federal rate on AGI: 16.0%. Marginal ordinary rate 24%; preferential income (qualified dividends + net capital gain, $31,281) taxed at 15%.

2. Forms included in the e-file package (attachment sequence order)

Form / Schedule	Seq.	Why required
Form 1040	-	Individual return, MFJ, 3 dependents
Schedule 1	01	Educator expenses adjustment (line 11)
Schedule 2	02	Additional Medicare Tax (line 11) and NIIT (line 12)
Schedule 3	03	Foreign tax credit, dependent care credit, excess social security withheld
Schedule A	07	Itemizing: SALT (capped), mortgage interest, cash charitable gifts
Schedule B	08	Ordinary dividends exceed $1,500 (interest also listed); Part III foreign account questions
Schedule D	12	Two stock sales
Form 8949	12A	Box A (ST, basis reported) and Box D (LT, basis reported) - Box D sale carries a code W adjustment, so it cannot go directly on Sch. D line 8a
Form 2441	21	Child and dependent care credit (2 qualifying children)
Schedule 8812	47	Child tax credit for 3 qualifying children
Form 8995	55	QBI deduction for $214.79 Sec. 199A dividends (taxable income below $383,900, simplified form)
Form 8959	71	Combined Medicare wages $353,409 exceed $250,000 MFJ threshold
Form 8960	72	MAGI exceeds $250,000; net investment income $34,243

Considered and not required: Form 6251 (AMT computed - tentative minimum tax $50,021 < regular tax $62,211; SALT add-back $10,000; exemption $133,300); Form 1116 (foreign tax $211.05 is passive, reported on 1099-DIV and under the $600 MFJ de minimis election - claimed directly on Sch. 3 line 1); Form 8889 (no HSA activity shown); Form 2210 (see open item 2); Form 1040-V (only if paying by check). Form 8879 must be signed by both spouses and retained by the firm (not transmitted).

3. Source document tie-out

Document	Recipient	Key amounts (as shown on document)	Reported on
W-2 COMPANY X (EIN 12-1234567)	Robert	Box 1 132,465.05; box 2 9,642.23; box 3/5 132,465.05; box 4 8,212.83; box 6 1,920.74	1040 1a, 25a; 8959; 2441; Sch. 3 l.11
W-2 ZIXBO SERVICES GROUP INC (EIN 12-1234568)	Robert	Box 1 102,468.69; box 2 7,465.85; box 3/5 102,468.69; box 4 6,353.06; box 6 1,485.80	1040 1a, 25a; 8959; 2441; Sch. 3 l.11
W-2 COMPRESS MIDDLE SCHOOL (EIN 33-3213213)	Lisa	Box 1 92,068.87; box 2 8,286.20; box 3/5 118,475.30; box 4 7,345.47; box 6 1,717.89; box 12a (code illegible) 26,406.43; box 12b DD 57,342.01 (info only); box 13 retirement plan checked	1040 1a, 25a; 8959; 2441; Sch. 3 l.11
1099-INT TX Lending Company	Robert	Box 1 interest 107.88	Sch. B line 1; 1040 2b; 8960 l.1
1099-INT Yellow Rose Bank	Robert	Box 1 interest 39.99	Sch. B line 1; 1040 2b; 8960 l.1
1099-INT Yellow Rose Bank	Lisa	Box 1 interest 968.22	Sch. B line 1; 1040 2b; 8960 l.1
1099-DIV Yellow Rose Bank	Lisa	1a 6,744.05; 1b 4,897.86; box 5 (199A) 214.79; box 7 foreign tax 211.05 (VARIOUS)	Sch. B l.5; 1040 3a/3b; 8995 l.6; Sch. 3 l.1; 8960 l.2
1099-B L&R Investment Advisors	Robert	11 sh EXSTCK acq 03/08/2024, sold 07/06/2024; proceeds 56.78; basis 6,750.88; ST; basis reported	8949 Part I Box A; Sch. D 1b
1099-B Retro Investing Company	Lisa	18 sh BLU-FOR CORP acq 04/08/2019, sold 08/25/2024; proceeds 43,877.03; basis 11,268.00; 1g wash sale 468.41; LT; basis reported	8949 Part II Box D (code W); Sch. D 8b
1098 TX Lending Company	Both	Box 1 interest 17,678.69; box 2 principal 565,774; origination 05/06/2020; box 10 real estate taxes 6,748.32	Sch. A 8a and 5b
1098-E TX School Lending Co.	Lisa	Box 1 student loan interest 4,312.00	Not deductible - MAGI over $195,000 phase-out
Child care statement (EIN 45-4564564)	Family	Robert III $820; Melissa $820; Judith $600; total $2,240	Form 2441 ($1,640 qualifying)
LTC premium letter (Texas Ins. Co.)	Both	$5,500 each, paid 12/21/2024	Sch. A l.1 limited to $880 each
Estimated tax schedule	Both	4/2/24 $3,380; 7/4/24 $3,275; 10/2/24 $3,455; 1/5/25 $3,575 = $13,685	1040 line 26
Client organizer notes	Both	Red Cross cash $2,500 (Sep 2024); church $150/month = $1,800; classroom supplies ~$730	Sch. A l.11; Sch. 1 l.11 ($300 cap)

4. Open items requiring reviewer attention / client follow-up

#	Item	Detail and recommended action	Est. impact
1	Lisa W-2 box 12a code missing / possible excess deferral	Box 12a amount $26,406.43 equals box 3 less box 1, so it is a pre-tax elective deferral, but the code is blank/illegible. Lisa is 48 (no age-50 catch-up); the 2024 402(g) limit is $23,000. If this is a 403(b)/401(k) deferral (code E/D), $3,406.43 is an excess deferral that must be added to 2024 income (Form 1040 line 1h) and a corrective distribution requested by 4/15/2025 (15-year-of-service 403(b) catch-up of up to $3,000 could reduce the excess to $406.43). If part is a 457(b) deferral (code G - separate limit), no adjustment. Return currently follows W-2 box 1 as issued. Obtain corrected/legible W-2 or plan statement before filing.	+$818 tax if full $3,406 is excess
2	Estimated tax penalty (Form 2210)	Q2 paid 7/4/2024 (due 6/17) and Q3 paid 10/2/2024 (due 9/16). Withholding + excess SS ($29,507) + estimates ($13,685) = $43,192, below 90% of 2024 tax ($52,114). Need the 2023 return: safe harbor is 110% of 2023 total tax (2023 AGI presumably > $150,000). Line 38 left blank pending that data. Indicative penalty using the 90% current-year requirement and the regular method (8% for 2024 / 7% for 2025, balance paid 4/15/2025): approx. $474.	Up to ~$474
3	Sales tax deduction (Sch. A line 5a) - estimate	Texas has no income tax, so the general sales tax election is used. Amount entered ($4,488 = estimated state table amount $3,400 for income $300,000+ / family size 5, plus local 2.00%/6.25% x $3,400 = $1,088) must be verified with the IRS Sales Tax Deduction Calculator (ZIP 78253). Because SALT is capped at $10,000 and property tax is $6,748.32, any sales tax amount of $3,252 or more gives the same result. Note: without the sales tax deduction, itemized deductions would be $28,727 and the $29,200 standard deduction would be better.	None if >= $3,252
4	Wash sale amount on a gain (Lisa 1099-B)	1099-B box 1g shows $468.41 wash sale loss disallowed although the sale produced a $32,609 gain. Reported per Form 8949 instructions (code W, +$468). Confirm with Retro Investing Company whether box 1g is an error; if removed, LT gain falls by $468.	-$88 if removed
5	Robert 1099-B large ST loss	Proceeds $56.78 vs. basis $6,750.88 (4-month hold). Confirm basis and that no substantially identical shares were bought within 30 days before/after 07/06/2024 (including in Lisa's accounts or IRAs), which would trigger a wash sale.	Up to ~$1,300 if disallowed
6	Charitable substantiation	Red Cross $2,500 single gift requires a contemporaneous written acknowledgment (IRC 170(f)(8)). Church $150 monthly gifts require bank records or written receipts. Obtain copies for the file.	Deduction at risk $4,300
7	Dependent care provider	Provider is in Dallas (~275 miles from San Antonio home); Lisa's employer is in Cypress, TX. Confirm care was actually provided for Robert III and Melissa, and keep provider TIN documentation (Form W-10 or statement on file - statement shows EIN 45-4564564). Judith (14) excluded - age 13+ all year.	$328 credit
8	Long-term care policy	Confirm policy is a tax-qualified LTC contract. Deductible portion is limited to $880 per person (age 41-50 bracket; Robert turned 50 on 12/19/2024, Lisa 48) = $1,760, which does not exceed the 7.5% of AGI floor ($27,071), so no tax benefit in 2024.	None
9	Filing logistics	Balance due $14,712 by 4/15/2025: obtain payment method (EFW bank info and debit date, Direct Pay, or check with 1040-V). Ask clients re: Presidential Election Campaign Fund, third-party designee, and any IP PINs. Firm/preparer name, PTIN and EIN to be completed. Both spouses to sign Form 8879.	-
10	Minor document anomalies	Lisa 1099-DIV payer TIN shows 10 digits (11-75252525); LTC letter ZIP 78523 vs. 78253; Robert W-2 employer name reads "COMPANIX/COMPANY X". None affects the return; note for file.	None
11	2025 planning	Two-earner/two-job household with $14,712 owed: recommend updated Forms W-4 (Step 2 checkbox) and/or timely 2025 estimates (4/15, 6/16, 9/15/2025, 1/15/2026) to avoid underpayment penalties; Robert should expect excess SS withholding again if he keeps two employers.	-

5. Key positions and supporting computations

5a. Qualified Dividends and Capital Gain Tax Worksheet (Form 1040 line 16)

Line	Description	Amount
1	Taxable income (1040 l.15)	328,924
2	Qualified dividends (l.3a)	4,898
3	Smaller of Sch. D l.15 or l.16	26,383
4	Add lines 2 and 3	31,281
5	Line 1 - line 4	297,643

Line	Description	Amount
6	0% bracket top (MFJ)	94,050
7	Smaller of line 1 or 6	94,050
8	Smaller of line 5 or 7	94,050
9	Line 7 - line 8 (taxed at 0%)	0
10	Smaller of line 1 or 4	31,281
11	Line 9	0
12	Line 10 - line 11	31,281
13	15% bracket top (MFJ)	583,750
14	Smaller of line 1 or 13	328,924
15	Line 5 + line 9	297,643
16	Line 14 - line 15	31,281
17	Smaller of line 12 or 16	31,281
18	Line 17 x 15%	4,692.15
19	Line 9 + line 17	31,281
20	Line 10 - line 19	0
21	Line 20 x 20%	0
22	Tax on line 5 (Tax Computation Worksheet: x 24% - $13,915)	57,519.32
23	Lines 18 + 21 + 22	62,211.47
24	Tax on line 1 (Tax Computation Worksheet)	65,026.76
25	Smaller of line 23 or 24 = TAX (1040 l.16)	62,211.47

5b. Other computations

Item	Computation	Result
Excess social security (Sch. 3 l.11)	Robert: $8,212.83 (Company X) + $6,353.06 (Zixbo) = $14,565.89 less 2024 maximum $168,600 x 6.2% = $10,453.20	$4,113
Additional Medicare Tax (8959)	Medicare wages $132,465.05 + $102,468.69 + $118,475.30 = $353,409 - $250,000 = $103,409 x 0.9%. No employer exceeded $200,000, so no Addl. Medicare withheld.	$931
NIIT (8960)	NII = interest $1,116 + dividends $6,744 + net gain $26,383 = $34,243; MAGI excess $110,946; lesser x 3.8%	$1,301
Dependent care credit (2441)	($820 + $820) qualifying expenses x 20% (AGI over $43,000); Judith's $600 excluded (not under 13)	$328
Child tax credit (8812)	3 children under 17 x $2,000; AGI $360,946 below $400,000 phase-out; tax liability limit $61,672	$6,000
Foreign tax credit (Sch. 3 l.1)	1099-DIV box 7 $211.05; de minimis election (passive, <= $600 MFJ) - Form 1116 not required	$211
QBI deduction (8995)	20% x $214.79 Sec. 199A dividends; income limit 20% x ($328,967 - $31,281) = $59,537	$43
Educator expenses (Sch. 1 l.11)	Lisa, middle school teacher: $730 paid, limited to $300	$300
Student loan interest (Sch. 1 l.21)	$4,312 paid; 2024 MFJ phase-out $165,000-$195,000; MAGI $360,946	$0
Medical (Sch. A l.4)	LTC eligible premiums 2 x $880 = $1,760 < 7.5% x $360,946 = $27,071	$0
SALT (Sch. A l.5e)	Sales tax (est.) $4,488 + real estate tax $6,748 = $11,236, capped	$10,000
Mortgage interest (Sch. A l.8a)	Form 1098; acquisition debt $565,774 (originated 05/06/2020) under $750,000 limit - fully deductible	$17,679
Charitable (Sch. A l.11)	Red Cross $2,500 + church $150 x 12	$4,300
Itemized vs. standard	Itemized $31,979 vs. MFJ standard deduction $29,200	Itemize
Net capital gain (Sch. D)	ST: $57 - $6,751 = ($6,694). LT: $43,877 - $11,268 + $468 (code W) = $33,077. Net $26,383 (taxed at 15%)	$26,383
AMT check (6251)	AMTI $328,924 + SALT $10,000 = $338,924 - $133,300 exemption = $205,624; TMT (26% ordinary, 15% pref.) $50,021 < regular tax $62,211	No AMT

Note on presentation: the attached return is a line-by-line facsimile of the 2024 IRS forms prepared from the client source documents for review purposes. Amounts are rounded to whole dollars. Final transmission should be made through the firm's e-file software after the open items above are resolved; the software-generated forms should tie to these amounts.